

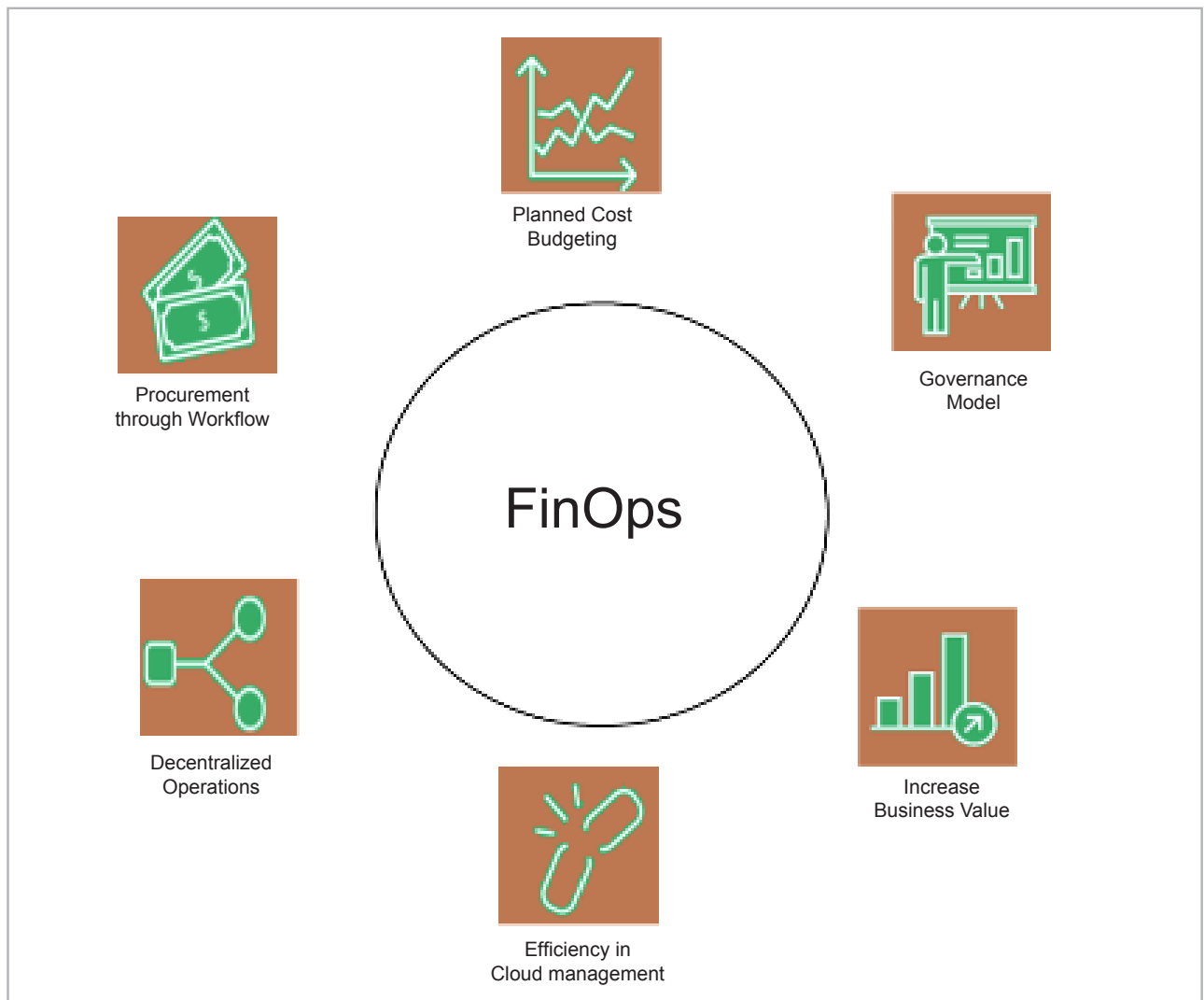


Figure 4: Components of FinOps/cloud cost management

cloud resources to scale-in and scale-out gives better cost benefit, a common issue in resource optimisation is handling unused resources or instances, particularly in non-production environments. Monitoring and controlling unused resources gives better cost optimisation.

- **Right-size underused resources:** If infrastructure sizing is done based on existing on-premise infrastructure during cloud migration, one may not know the performance requirements (completely). Therefore, right-

sizing resources like VM instance, storage service and database size yields better cost benefits.

- **Reserve instances or spot instances for consistent long-term workloads:** When adopting the cloud, we may have a clear idea of resources for long-term usage like data lakes or FTP landing zone. For these services, using reserved instances or spot instances for three to five years can give as much as 50 per cent cost benefit.
- **Choose the hybrid cloud approach for reducing migration cost:** During cloud migration for large estates, instead of the big-bang approach

for all applications at once, staged migration can be done and some key applications can be kept on-premise. A hybrid architecture can help to curtail losses.

- **Use auto-scaling features for required resources:** Many cloud services have auto-scale facilities to scale-up when there is higher usage and scale-down when there is lower usage of resources. This kind of elasticity without manual monitoring and maintenance using an auto-scale feature gives cost benefits.
- **Enable budgets for resources and allocate costs:** Resources should be budgeted and costs allocated.